

Curbing Misuse of Political Funding Through RUPPs



For Prelims: Tax evasion , Registered Unrecognised Political Parties , Election Commission of India , Right to Know , Electoral Bond Scheme , Electoral Trusts

For Mains: Political funding and electoral transparency, Electoral reforms in India, Corporate funding and political influence, Need of financial transparency in elections for democratic accountability, Reforms needed for ensuring transparent political funding in India.

Source: TH

Why in News?

The discourse around **political funding** has intensified following allegations of large-scale **tax evasion and money laundering** involving **Registered Unrecognised Political Parties (RUPPs)**.

Summary

- Political funding in India faces major challenges such as opaque donations, misuse of RUPPs, corporate influence, tax loopholes and the absence of expenditure limits for political parties.
- Reforms should focus on empowering the ECI, strengthening audits, regulating corporate funding, capping party expenditure, plugging tax loopholes and introducing partial state funding to ensure transparent and equitable elections.

What is the Legal Framework Governing Political Funding in India?

- **About:** Political funding refers to the methods and sources through which political parties and candidates raise financial resources to cover their operational costs, election campaigns, and party activities.

- **Constitutional Provisions:**

- **Article 324:** Vests the superintendence, direction, and control of elections in the **Election Commission of India (ECI)** to ensure free, fair, and untainted democratic processes.
- **Article 19(1)(a):** The Supreme Court has repeatedly affirmed that voters have a fundamental **"Right to Know"** regarding the sources of political funding, as informed choices are foundational to participatory democracy.
 - In ***Association for Democratic Reforms v. Union of India (2024)*** , the Supreme Court struck down the **Electoral Bond Scheme** , holding that anonymous political funding violates voters' **Right to Information under Article 19(1)(a)** . It also warned that unlimited corporate funding could promote **institutionalised corruption** .

Statutory Provisions

- **Representation of the People Act (RPA), 1951:**

- **Section 29A:** Governs the formal registration of associations as political parties with the ECI to be eligible for donations and tax exemptions.
- **Section 29B:** Grants parties the legal entitlement to accept voluntary contributions from individuals and non-government corporations.
- **Section 29C:** Mandates every registered party to submit an annual **Contribution Report** to the ECI declaring donations received in excess of **Rs 20,000** .

- **Companies Act, 2013:** Companies can donate to political parties, subject to disclosure requirements under Section 182 of the **Companies Act, 2013**.

- Following the Supreme Court's 2024 verdict on Electoral Bonds, earlier unlimited, undisclosed corporate political contributions stand unconstitutional, reviving debate on corporate transparency.

- **Foreign Contribution (Regulation) Act (FCRA), 2010:** Prohibits political parties and election candidates from receiving foreign funding to safeguard national sovereignty.

- However, amendments through the **Finance Acts of 2016 and 2018** excluded Indian companies with over 50% foreign ownership from the definition of a foreign source, subject to **FEMA and FDI limits**, thereby permitting such companies to make political contributions.

- **Taxation Provisions**

- **Section 13A of the Income Tax (IT) Act, 1961:** Political parties registered under the **Representation of the People Act, 1951** can claim **tax exemption on specified incomes and voluntary contributions** , provided they maintain proper accounts, record donations above **Rs 20,000** , and get their accounts audited.
 - The exemption is denied if the party fails to submit the required **contribution report under Section 29C of the RPA, 1951** .
- **Sections 80GGB and 80GGC of the IT Act, 1961:** Permit Indian companies (80GGB) and individual taxpayers (80GGC) to claim a **100% deduction** on gross taxable income for donations made to registered political parties or recognized electoral trusts.

Registered Unrecognised Political Parties (RUPPs)

- **Legal Basis:** Any association of citizens can form a political party and apply for registration with the ECI under **Section 29A of the RPA, 1951** .
- **Benefits of Registration:** Once registered, even without gaining state or national recognition, RUPPs enjoy significant privileges:
 - **Tax Exemptions:** They receive 100% tax exemption on donations under the Income Tax Act, provided they comply with specific rules.
 - **Common Symbols:** They are allotted common symbols for their candidates in general or state assembly elections.
 - **Campaigning:** They are allowed to deploy up to 20 'star campaigners' during an election campaign.
- **Compliance Mandates:** Under Section 29C of the RP Act, RUPPs must maintain records of all individual donors contributing more than Rs 20,000 in a financial year and submit an annual report to the ECI.
 - Donations above Rs 2,000 must be received exclusively via cheque or bank transfers. Failure to furnish these details legally strips them of their income tax exemptions.

What are the Major Concerns Regarding India's Political Funding?

- **Proliferation of Bogus Parties:** Out of more than 2,800 RUPPs registered as of July 2026, **only about 750 actively contested the 2024 general elections**. The vast majority exist only on paper, earning them the moniker '**letter pad parties**'.
 - According to a July 2025 report by the Association for Democratic Reforms (ADR), the annual reports for the 2022-23 period were publicly available for only **26%** of RUPPs.
 - In 2025, the ECI found **334 RUPPs non-compliant** with registration requirements, raising concerns over **inactive or bogus political parties** . Some may function as **shell entities for laundering unaccounted money** , exploiting political donations and tax deductions under **Section 80GGC** .
- **Regulatory Limits of the ECI:** Under Section 29A of the RPA, 1951, the ECI possesses the power to register political parties but **lacks the statutory power to deregister them** for dormancy, financial crimes, or non-contestation (*Indian National Congress v. Institute of Social Welfare, 2002*).
 - The ECI can only "delist" them, which does not automatically strip them of tax benefits under the IT Act.
 - The ECI can de-register a political party only under specific and exceptional circumstances, such as when its registration was obtained through fraud, when it ceases to uphold allegiance to the Indian Constitution, or when it is declared unlawful by the Central Government.
- **Asymmetry in Campaign Expenditure Limits:** While the **Conduct of Elections Rules, 1961 (Rule 90)** imposes statutory expenditure ceilings on individual candidates (Rs 75-95 lakh for Lok Sabha; Rs 28-40 lakh for State Assemblies), there is **no statutory limit on the expenditure incurred by political parties** .

- This allows parties to flood constituencies with centralized funds, circumventing candidate-level caps.
- **Outdated Spending Limits:** Rising inflation, large constituencies and costly digital campaigns have made candidate spending limits increasingly unrealistic.
 - This encourages under-reporting of expenses, pushing campaign finance underground and fuelling unaccounted black money.
- **Corporate-Political Nexus:** Despite the abolition of Electoral Bonds, corporate donations can still flow through **Electoral Trusts** and direct party donations.
 - This opacity often obscures potential quid pro quo arrangements, crony capitalism, and policy capture.
- **Institutional Auditing Deficits:** The ECI lacks an in-house investigative and forensic accounting apparatus. It remains dependent on the **Central Board of Direct Taxes (CBDT)** to verify whether parties comply with Section 13A rules, resulting in delayed enforcement.

What Measures are Needed to Ensure Transparency and Accountability in Political Funding?

- **Empower the ECI:** Amend **Section 29A of the RPA, 1951** , as recommended by the **Law Commission (255 th Report, 2015)** and the ECI itself (in a 2016 memorandum), to give the ECI explicit powers to deregister inactive parties or those failing to submit audited accounts.
- **Cap Party Expenditure:** Introduce **statutory limits on political party expenditure** , as recommended by the **Law Commission (255 th Report, 2015)** , to ensure a level playing field.
- **Strengthen Audits:** Mandate **CAG-empanelled audits** and impose strict penalties for non-compliance, as recommended by the **2nd ARC (2007)** .
- **Inter-Agency Financial Monitoring:** Since parties can easily bypass deregistration by fielding a token number of candidates, statutory changes alone are insufficient. Enforcement agencies, particularly the Income Tax Department, must leverage digital infrastructure to aggressively monitor the financial transactions of RUPPs and initiate strict penal action against money laundering.
- **Threshold for Tax Benefits:** Instead of granting tax exemptions to all RUPPs merely upon registration, require them to secure a **minimum vote share, such as 1%** , before becoming eligible for tax benefits. This would promote **financial accountability while allowing genuine emerging parties** to qualify.
- **Regulate Corporate Funding:** Strengthen restrictions on corporate donations, in line with the **Dinesh Goswami Committee (1990)** recommendation to curb corporate influence.
- **Promote State Funding:** Introduce **partial public funding** , particularly in-kind support such as free airtime and campaign facilities, as recommended by the **Indrajit Gupta Committee (1998)** .
- **Plug Tax Loopholes:** Rationalise deductions under **Sections 80GGB and 80GGC** by imposing reasonable limits to prevent misuse and round-tripping of funds.

Conclusion

A clean, equitable, and transparent political funding architecture is indispensable to upholding **the basic structure of the Constitution and ensuring genuine democratic representation** . Statutory reforms empowering the ECI, coupled with strict transparency mandates and expenditure caps, are essential to insulate India's electoral democracy from the distorting influence of black money.

Drishti Mains Question:

The opacity of political funding can undermine the informed choice of voters. Discuss with reference to Article 19(1)(a) and the Supreme Court's electoral funding jurisprudence.

Frequently Asked Questions

1. What does Section 29C of the RPA, 1951 provide?

It requires registered political parties to submit an annual **Contribution Report to the ECI** , disclosing donations exceeding **₹20,000** .

2. What is the significance of Section 13A of the Income Tax Act, 1961?

It provides **tax exemption to eligible political parties** subject to conditions such as proper accounts, disclosure of donations above ₹20,000 and **audit of accounts** .

3. Why are RUPPs a concern for political funding transparency?

Non-compliant or inactive RUPPs may be misused as **shell entities for laundering unaccounted money** and exploiting political donation-related tax benefits.

4. What is the major regulatory gap concerning political party expenditure?

While **candidate expenditure is subject to statutory ceilings** , political parties face **no comparable statutory expenditure limit** , enabling them to circumvent candidate-level restrictions.

5. What reforms have been suggested to improve political funding transparency?

Key measures include **empowering the ECI to deregister non-compliant parties, capping party expenditure, strengthening audits, regulating corporate donations, partial state funding and plugging tax loopholes** .

[Watch Video on YouTube:

▶ <https://www.youtube.com/embed/jxgzWbBeDTs>]

UPSC Civil Services Examination Previous Year Questions (PYQ)

Prelims

Q. Consider the following statements: (2017)

1. The Election Commission of India is a five-member body.
2. Union Ministry of Home Affairs decides the election schedule for the conduct of both general elections and bye-elections.
3. Election Commission resolves the disputes relating to splits/mergers of recognised political parties.

Which of the statements given above is/are correct?

- (a) 1 and 2 only
- (b) 2 only
- (c) 2 and 3 only
- (d) 3 only

Ans: (d)

Mains

Q. In the light of recent controversy regarding the use of Electronic Voting Machines (EVM), what are the challenges before the Election Commission of India to ensure the trustworthiness of elections in India? **(2018)**

Q. To enhance the quality of democracy in India the Election Commission of India has proposed electoral reforms in 2016. What are the suggested reforms and how far are they significant to make democracy successful? **(2017)**

India-Sri Lanka Defence Cooperation



Source: TH

Why in News?

India's Defence Minister concluded a historic three-day visit to Sri Lanka, marking the first visit by an Indian Defence Minister to the island nation in 38 years. During the visit, **India and Sri Lanka** signed **three key Memoranda of Understanding (MoUs)** to bolster bilateral defence cooperation

and regional security.

What are the Key Highlights of the Visit?

- **Three Strategic Defence MoUs:**

- **Upgradation of L70 Guns:** India will fund the upgradation of **six 40mm L70 anti-aircraft guns operated by the Sri Lankan Air Force** under a Government of India grant, significantly enhancing Sri Lanka's air-defence architecture.
- **National Defence Colleges (NDC):** Academic cooperation and knowledge sharing between the NDCs of both nations to foster long-term strategic learning and institutional linkages.
- **National Cadet Corps (NCC):** Formalization of a youth exchange programme, strengthening people-to-people ties and military youth engagement.

- **Infrastructure & Disaster Relief:** Both leaders virtually inaugurated three **Bailey bridges** constructed by the Indian Armed Forces in Sri Lanka's Kurunegala and Batticaloa districts, restoring connectivity in areas severely affected by **Cyclone Ditwah**. The initiative forms part of India's humanitarian assistance under **Operation Sagar Bandhu**.

- Under Operation Sagar Bandhu, India has provided emergency relief and initiated a USD 450-million reconstruction package to support Sri Lanka.

- **Security Assurances:** Sri Lankan reiterated that Sri Lankan territory would never be used for activities inimical to India's security interests.

- **Maritime Engagement:** The Indian Navy's indigenously built multi-role stealth frigate, **INS Udaygiri**, arrived at Colombo port for an Operational Turnaround (OTR), symbolizing strong maritime ties.

- **Fisheries Issue:** The long-standing fisheries dispute in the **Palk Strait** was discussed, with Sri Lanka seeking support to safeguard local fishermen's livelihoods against destructive bottom trawling by Indian counterparts.

Strategic Significance for India

- **Countering Regional Influence:** With China's growing footprint in the **Indian Ocean Region (IOR)** and its investments in ports like **Hambantota**, reinforcing security ties ensures a stable maritime environment and protects crucial shipping lanes.
- **Neighbourhood First Policy:** The visit reinforces India's commitment as a "**first responder**" in times of crisis, cementing its status as a reliable neighbor in South Asia.
- **MAHASAGAR Initiative:** The agreements align with India's broader vision for maritime security, intelligence sharing, and cooperative growth for all in the IOR.

India- Sri Lanka Defence & Security Cooperation

- **Joint Military Exercises:** The two countries conduct annual bilateral exercises, including **SLINEX (Navy)** and **MITRA SHAKTI (Army)** , alternately in India and Sri Lanka.
- **Maritime Security & Capacity Building:** India has supported Sri Lanka's maritime security through the **Maritime Rescue Coordination Centre (MRCC)** , established with **USD 6 million Indian grant assistance** .
- **Defence Cooperation Agreement & Training:** A **MoU on Defence Cooperation** was signed during the Indian Prime Minister's visit to Sri Lanka in **2025** .
 - India also provides around **1,200 training vacancies annually** to the Sri Lankan Armed Forces.
- **Counter-Terrorism & Regional Security:** Security cooperation covers **counter-terrorism and emerging regional security challenges** .
 - The **Colombo Security Conclave (CSC)** has emerged as an important platform for regional security cooperation, with its founding documents signed in **2024** .

Click here to Read: [Strengthening India- Sri Lanka Ties](#)

Frequently Asked Questions

1. What are the three major defence MoUs signed between India and Sri Lanka?

They cover **upgradation of six L70 anti-aircraft guns, cooperation between National Defence Colleges, and an NCC youth exchange programme** .

2. What is the significance of SLINEX and MITRA SHAKTI?

SLINEX is the India-Sri Lanka **naval exercise** , while **MITRA SHAKTI** is the bilateral **Army exercise** , strengthening interoperability and operational cooperation.

3. What is the Colombo Security Conclave (CSC)?

The **CSC is a regional security platform** focused on cooperation in areas such as maritime security, counter-terrorism and other emerging security challenges in the Indian Ocean.

4. What is the Maritime Rescue Coordination Centre (MRCC) established with Indian assistance?

The **MRCC enhances Sri Lanka's maritime domain awareness, search-and-rescue coordination and maritime security capabilities** , with Indian grant assistance of **USD 6 million** .

5. What is the major challenge in India-Sri Lanka fisheries relations?

The **Palk Strait fisheries dispute** , particularly concerns over **bottom trawling** , creates livelihood and ecological tensions and requires sustainable, cooperative fisheries management.

[Watch Video on YouTube: [▶ https://www.youtube.com/embed/MadopP0chV4](https://www.youtube.com/embed/MadopP0chV4)]

UPSC Civil Services Examination, Previous Year Questions (PYQs)

Prelims :

Q. Elephant Pass, sometimes seen in the news, is mentioned in the context of the affairs of which one of the following? (2009)

- (a) Bangladesh
- (b) India
- (c) Nepal
- (d) Sri Lanka

Ans: (d)

Q. Consider the following statements: (2020)

1. The value of Indo-Sri Lanka trade has consistently increased in the last decade.
2. "Textile and textile articles" constitute an important item of trade between India and Bangladesh.
3. In the last five years, Nepal has been the largest trading partner of India in South Asia.

Which of the statements given above is/are correct?

- (a) 1 and 2 only
- (b) 2 only
- (c) 3 only
- (d) 1, 2 and 3

Ans: (b)

Mains

Q. 'India is an age-old friend of Sri Lanka.' Discuss India's role in the recent crisis in Sri Lanka in the light of the preceding statement. (2022)

Q. In respect of India-Sri Lanka relations, discuss how domestic factors influence foreign policy. (2013)

DRC's Sovereign Control Over Geological Data



Source: TH

The **Democratic Republic of Congo (DRC)** announced plans to tighten state control over its

geological data by creating a comprehensive national databank for **critical minerals**. This move aims to extend state influence over future mineral discoveries, direct billions of dollars in mining exploration, and safeguard the **nation's "strategic interests"**.

Democratic Republic of Congo (DRC)

- **Location:** Located in **Central Africa** , it is the **2 nd -largest country in Africa** (after Algeria) and the 11 th largest in the world.
- **Capital:** Kinshasa, situated on the banks of the **Congo River**.
- **Bordering Countries:** The DRC shares land borders with **nine countries** : Republic of the Congo (northwest), Central African Republic (north), South Sudan (northeast), Uganda, Rwanda, Burundi, and Tanzania (east), Zambia (southeast), and Angola (southwest).
- **Geographical Features:**
 - **Equator:** The Equator passes directly through the northern part of the country.
 - **Congo River** : It is the **2 nd -longest river in Africa (after the Nile)** and uniquely **crosses the equator twice**. It boasts massive hydroelectric potential, most notably harnessed through the **Inga Dam complex** and the proposed **Grand Inga Dam project** envisioned to become one of the world's largest hydropower projects) situated on the **Inga Falls in the DRC**.
 - **Congo Rainforest:** It is the second-largest tropical rainforest in the world (after the Amazon), acting as a crucial global carbon sink.
 - **Great Lakes:** Its eastern border is flanked by the **African Great Lakes**, including Lake Albert, Lake Edward, Lake Kivu, **Lake Tanganyika** (world's second-deepest lake after **Lake Baikal** in Siberia), and Lake Mweru.
 - **Mountains and Volcanoes:** The eastern highlands feature the snow-capped **Ruwenzori Mountains** (highest peak: Margherita Peak) and active volcanoes like **Mount Nyiragongo** and Nyamuragira in the Virunga volcanic chain.
- **Mineral Belts:** The southern region, particularly the **Katanga Copperbelt** , is world-renowned for its exceptionally high-grade copper and cobalt deposits.
 - The DRC is the **world's largest producer of cobalt** (holding reserves estimated at 6 million tons) and it is Africa's largest producer of copper. It also hosts rich deposits of lithium, tantalum, germanium, and gold.



Read more: [Democratic Republic of Congo \(DRC\)](#)

International Literacy Day 2026



Source: PIB

The **International Literacy Day 2026 celebrations** concluded with the **ULLAS Mela** in New Delhi, providing a platform for learners, volunteer teachers and States/UTs to share experiences and best practices in strengthening India’s literacy movement.

- **ULLAS (Understanding of Lifelong Learning for All in Society)** also known as the **Nav Bharat Saaksharta Karyakram (New India Literacy Programme)** is a **Centrally Sponsored Scheme implemented by the Ministry of Education** from 2022-23 to 2026-27 to provide foundational literacy and numeracy to **non-literate adults aged 15 years and above** and promote lifelong learning.

International Literacy Day (ILD)

- **Background:** International Literacy Day has been observed **annually on 8th September since 1967** . It was proclaimed by **UNESCO** in 1966 during the **14th session of the UNESCO General Conference** to highlight the importance of literacy in building inclusive, peaceful and sustainable societies.
- **ILD 2026 Theme:** The theme for International Literacy Day 2026 is **“Literacy for people, the planet and prosperity.”** It highlights the role of literacy in promoting inclusion, sustainable futures and opportunities for development .
- **Global Literacy Challenges:** Despite progress, around **739 million youth and adults worldwide lacked basic literacy skills in 2024** , while **272 million children and adolescents were out of school in 2023** .

Read More: [International Literacy Day \(ILD\) 2025](#)

Ocean Research Vessel Sagar Manthan



Source: PIB

Recently, India launched **Ocean Research Vessel (ORV) Sagar Manthan** at **Rishi Bankim Shipyard, Kolkata** , marking a major step towards **self-reliance in oceanographic research and maritime technology** . The advanced vessel will gradually replace the 43-year-old ORV Sagar Kanya, which was acquired from Germany in 1983.

- **About:** The vessel (**Yard 3041**) has been **designed, engineered and constructed by Garden Reach Shipbuilders and Engineers (GRSE)** for the **National Centre for Polar and Ocean Research (NCPOR)** under the **Ministry of Earth Sciences (MoES)** .
- **Research Capabilities:** The **all-weather, multidisciplinary research vessel** is designed to operate in challenging oceanic environments, including the **Southern Ocean** , with an expected service life of around **30 years** .
 - It is equipped with **multibeam bathymetry, multichannel seismic systems, sub-bottom profiling, weather radar, dynamic positioning** , and facilities for deploying **Remotely Operated Vehicles (ROVs)** and **Autonomous Underwater Vehicles (AUVs)** .
- **Deep Ocean Capability:** ORV Sagar Manthan can undertake **swath multibeam and geophysical seismic surveys up to depths of 6 km** , enabling advanced **deep-sea mapping and marine resource assessment** .
- **Scientific Applications:** The vessel will support **oceanographic and geophysical research** , including surveys for **multi-metal hydrothermal sulphide mineralisation** , exploration of marine mineral resources such as **manganese nodules and polymetallic sulphides** , environmental baseline studies, Conductivity, Temperature and Depth(**CTD**) **profiling** , water-column sampling, seabed sampling and atmospheric observations.
- **Strategic Significance:** The vessel represents India's transition from procuring ocean research platforms abroad to building advanced research infrastructure domestically. It will strengthen capabilities in **climate studies, disaster prediction, maritime domain awareness and the Blue Economy** , while carrying **dual-class certification from Indian Register of Shipping (IRS) and American Bureau of Shipping (ABS)** .

Read More: [Ocean Research Vessel- Sagar Nidhi](#)